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Basics in Work Motivation

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Many managers would agree that a company's most precious resource is its people. At the same time, many would also admit that, in their company, they do not make the best use out of this resource. In spite of all efforts to include incentives and create a propitious climate, there is still a widespread impression that something is wrong, and that motivating people is not an easy task. And it is quite true, it is not easy. In fact, with the motivational criteria and models that many companies use it is practically impossible.

Part of the problem is that much of the academic literature and business seminars are based on psychological ideas from fifty years ago (such as Maslow's theory). The same ideas are trotted out time and again, even though their practical limitations have been clearly demonstrated. In this note, we shall try to explain in some depth the most important factors that motivate people to work, drawing on recent academic studies of the subject. We hope that these ideas will stimulate the development of richer and more innovative incentive systems and motivation policies than those we so often find in companies today.

To be more specific, the incentive systems adopted by human resources departments very often take it for granted that employees are interested only in money, or what technically is known as extrinsic rewards. Given that employees can be motivated by many other factors, if we focus exclusively on extrinsic rewards, we will be appealing to only part of their motivation. What's more, we will be in danger of losing those who are looking for more than just money, precisely the ones who could well become the organization's most committed and most loyal members. What is intended as an incentive system can easily turn into a disincentive system, and can even create a positive sense of injustice and repudiation.

In this note, we shall start by reviewing the principal models used to describe employee motivation in companies. After that, we shall present a theory of motivation that aims to comprehend the full range of employees' motivations in relation to organizations. This theory analyzes the consequences of the individual's actions in relation to her environment, and for that reason is known as the Outcome-Based Theory (OBT) of work motivation. OBT assumes that an action has different types

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of consequences. The expectations that an individual harbors about these consequences give rise to different types of motivation. In particular, OBT distinguishes three types of motivation: extrinsic motivation, intrinsic motivation, and contributive motivation. There is also a fourth motivating factor, which we shall call relational commitment.

Each person, in any given situation, possesses a distinct combination of motivational factors. We call this combination *motivational profile*. An employee's motivational profile is a key piece of information for the human resources department, both for designing and implementing incentive systems and for selecting and retaining talent. A person's motivational profile is dynamic, it changes over time, as the person learns from her decisions. The fact that motivational profiles are dynamic is crucial for understanding the success (or failure) of incentive systems.

Theories of Motivation

What motivates people to work? This is a key question for anyone studying companies and organizations. First, we need to define what we mean by motivation. According to Landy and Becker[1], motivation consists of at least one of the following features of behavior: initiation, direction, persistence, intensity or termination of a particular action. From this definition it follows that work motivation is a multifocal phenomenon, that is, it cannot be approached exclusively from any one perspective. Also, work motivation is the end result of interaction between individual traits and organizational traits. Theories of motivation center on different aspects of this complex process that result in action. We can group these aspects in three broad categories: the individual's predisposition, the cognitive process, and consequences deriving from the individual's action. From these come three types of theories of motivation: content theories, process theories, and outcome theories.

Content Theories of Motivation

Content theories cite factors internal to the individual to explain why people are motivated in different ways and by different work settings. The most representative examples of this strand of theory are the needs-based theories (for example, the theories of Maslow, Alderfer, or McClelland[2]). These theories assume that people have a propensity, which may be innate or acquired, to seek or avoid certain stimuli.

Perhaps the best known of these theories is Maslow's, which maintains that a person will be motivated to perform an action only if she experiences a need that can be satisfied as a result of that action. Maslow orders these needs in a hierarchy, arguing that they are activated in hierarchical sequence: when a need at one level is satisfied, the next highest need acts as the only motivator. The needs identified by Maslow go from physiological needs, at the bottom, to self-actualization, at the top. The five levels are: physiological needs (relating to survival, such as food, clothing, and rest); safety needs (relating to protection against threats and dangers, such as job security); belongingness and love (relating to giving and receiving affection); esteem (the desire for self-esteem and the esteem of others); and self- actualization (achieving what the person conceives as her personal mission). Although this theory was not developed specifically for application to the business context,

[1] Landy, F. J. & Becker, W.S. 1987. Motivation Theory Reconsidered. In L. L. Cummings & Barry M. Staw (Eds.), *Research in Organizational Behavior*, Vol. 9: 1-38. Greenwich, Connecticut: JAI Press Inc.

[2] Maslow, A. H. 1954. *Motivation and Personality* (3rd ed.). New York: Harper. Alderfer, C. P. 1972. *Existence, relatedness and growth: Human Needs in Organizational Settings*. New York: Free Press. McClelland, D. C. 1965. Toward a theory of motive acquisition. *American Psychologist*, 20: 321-333.

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it has been very influential in management practice. Nevertheless, research has been unable to obtain empirical confirmation. A theory that has received stronger empirical backing is Alderfer's, which is basically a simplification of Maslow's. Alderfer reduced the number of needs to three: existence, relatedness, and growth. He also suggested that a higher-order need could be activated even if the immediately lower need had not been fully satisfied. Lastly, he proposed a regression mechanism, suggesting that if a need could not be satisfied, the immediately lower need once again became the main source of motivation.

Unlike Maslow and Alderfer, who conceived needs as innate, McClelland argued that needs could change with experience. In McClelland's theory there are four needs: achievement, power, affiliation, and autonomy. Of these four, achievement is the one that has found most empirical support: people with a high need for achievement contribute most to the company's goals.

Other content-based theories that have been widely accepted and have obtained stronger empirical support are those that consider the content of the work that a person does (for example, Herzberg's[3] theory, and that of Hackman and Oldham[4]). These theories suggest that particular features of a job may motivate or demotivate an employee. Herzberg identified two types of factors: hygiene factors, and motivators. When a job does not have the right hygiene factors, a state of dissatisfaction arises; conversely, when a job has the required hygiene factors, a neutral state prevails (neither satisfaction nor dissatisfaction). Hygiene factors are not directly related to the task, but correspond basically to the context of the work, such as company policies, working conditions, pay, etc. Motivators, in contrast, produce satisfaction and so motivate behavior aimed at achieving satisfaction. They have to do with the content of the work. According to Herzberg, a motivator must make a person want to do a particular job. Based on Herzberg's studies, various theories about job design have been developed, most notably that of Hackman and Oldham. These two researchers showed that certain job characteristics motivate employees to do their job better. Specifically, they identified five basic motivating characteristics: skill variety (whether the job involves different activities and skills); task identity (whether the tasks are complete in themselves and have a visible end result, or whether they are merely part of a larger task); task significance (the impact the task has on the company and on society); feedback (knowing how well the task is proceeding and how to improve task performance); and autonomy (ability to make, or share in making, decisions). This theory has given rise to what is known as job enrichment.

These studies of needs and work content have brought major advances in the field of motivation research. One of the most important developments is the distinction between intrinsic and extrinsic motivation, contained in Deci and Ryan's[5] self-determination theory.

This theory defines intrinsic motivation as motivation based on the innate need for competence and self-determination. The chief reward of this motivation is the feeling of autonomy. Extrinsic motivation, on the other hand, is created by external rewards that the person wishes to obtain, or external constraints that she must obey. According to self-determination theory, these two types of motivation are mutually exclusive. In other words, a person may be motivated to work either for intrinsic motives or for extrinsic motives, but not both at once.

[3] Herzberg, F., Mausner, B., & Snyderman, B.B. 1959. *The Motivation to Work*. New York: Wiley.

[4] Hackman, J. R., & Oldham, G. R. 1975. Development of the job diagnostic survey. *Journal of Applied Psychology*, 60: 159-170.

[5] Deci, E. L., & Ryan, R. M. 1985. *Intrinsic Motivation and Self-Determination in Human Behavior.* New York: Plenum Press.

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Lastly, the concept people's self-concept (who they are, their values) has also been studied as an important factor in content theories. Shamir[6], for example, argues that even if a task leads to no reward whatsoever, it may still motivate a person if it has a meaning for that person; that is, if it fits in with her values regarding what needs to be done. Shamir therefore suggests that a person's motivation will depend on the level of congruence between the job and her self-concept.

Although all these theories are important for understanding the internal reasons that generate motivation in any given circumstances, their practical applicability to companies is limited. In particular, a specific reward may be motivating for an individual on account of any of a wide range of needs. For example, an employee may be keen to earn a bonus in order to satisfy a physiological need, or to boost her self-esteem. Conversely, the same need could make a person be interested in different types of incentives. For example, a person with a high need for achievement may be interested in different rewards, such as bonuses, promotions, challenging assignments, etc. Accordingly, company incentive plans cannot be based primarily on such internal factors, even though they must obviously take them into account, especially for detecting cases of lack of fit between an individual and a particular job or career plan.

Process Theories of Motivation

The next group of theories, those that consider the cognitive process that leads to motivation, tries to explain how people initiate, direct and maintain their motivation. The mechanisms these theories propose are assumed to be valid for all individuals under certain conditions.

One of the first process-based theories, which has been highly influential in the field of organizational behavior, is Adams' equity theory[7]. This theory assumes that people expect there to be a balance between their contribution (input) and the outcome they obtain. To judge whether there is the right balance between effort and reward, they compare their outcome- input ratio with that of other people whom they consider to be similar to themselves. If one person's situation is different from that of the comparison other, then there is inequity. The theory suggests that people adapt their behavior to reduce that inequity. They may do this by trying to change their outcomes, or if that cannot be done, by changing their contribution. Subsequent research into equity theory has been able to confirm only that people seek to reduce inequity when it is to their disadvantage, but not when it is in their favor. For example, if a person believes that she is earning less than other people who do similar work, she will try first to increase her earnings (until they reach a level that she considers "fair"). If she does not succeed in doing that, she will react by working less, until equity is attained. However, if the inequity is to her advantage, she will not try to restore the balance by working more or earning less (until her earnings fall to the same level as the others).

An extension of equity theory that has come to prominence in recent years is the procedural justice theory proposed by Folger and his colleagues[8]. This theory suggests that distributive justice, measured as the proportionality of rewards and contributions (which is what equity theory measures), is inadequate to predict employees' behavior. It therefore also takes into account the justice of the decision process, or procedural justice. Various studies have shown that people only react against their organization if they perceive an injustice that is both distributive and procedural.

[6] Shamir, B. 1991. Meaning, self and motivation in organizations. *Organization Studies*, 12(3): 405-424.

[7] Adams, J. S. 1963. Toward an understanding of inequity. *Journal of Abnormal and Social Psychology*, 67: 422-436. Adams, J. S. 1965. Inequity in social exchange. In L. Berkovitz (Ed.), *Advances in Experimental Social Psychology*, Vol. 2: 267-299. New York: Academic Press.

[8] Folger, R., & Greenberg, J. 1985. Procedural justice: An interpretive analysis of personnel systems. In K. Rowland & G. Ferris (Eds.), *Research in Personnel and Human Resources Management*, Vol. 3. Greenwich, Connecticut: JAI Press.

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In contrast, when there is only one type of injustice, people will not react negatively. For example, if they perceive a procedural injustice, but the distribution is favorable to them, they recognize the inequity but are not motivated to act. Conversely, if they perceive a distributive injustice but feel that the procedure was fair, they may be annoyed at their bad luck but will tend to understand that the company has done the best it could. This is what sometimes happens, for example, when there are dismissals due to restructuring; the dismissals may be painful, but they are accepted as being fair because the process has been conducted in a transparent and reasonable manner.

Another theory centered on the motivational process is expectancy theory, originally developed by Vroom[9]. This theory assumes that people act in accord with conscious and rational choices among expected outcomes. By a cognitive process, individuals assign probabilities to three factors: expectancy, instrumentality, and valence. Expectancy represents the individual's confidence that her efforts will produce a certain level of performance. For example, a sales representative may have higher or lower expectations of being able to reach the sales target her boss has set her. Instrumentalities represent the individual's confidence that her performance will produce particular outcomes. For example, the same sales representative may have more or less confidence that if she meets the target, she will receive a certain bonus. This confidence will depend on whether or not the company has made a promise about that bonus, the formality of the promise (a promise given casually in the corridor is not the same as a promise given and signed in writing), and the company's reputation for keeping its promises. Lastly, valences are the value the individual assigns to those specific outcomes. Continuing with the same example, the valence would be what the bonus means to the sales representative. This theory multiplies the three factors to calculate the motivational force of each alternative according to the following formula:

Motivation = (Expectancy x Instrumentality x Valence)

The multiplicative effect of this formula indicates that if one of the conditions is missing (that is, has a value of zero), motivation disappears. For example, if the bonus is very "enticing" but the target is unattainable (or, at least, is perceived as such by the sales representative), then the end effect will be nil. Or if the company promises but fails to keep its promise, the motivating capacity of any incentive plan it may produce in the future is likely to be undermined.

If a person has to choose between different options, as may occur if she receives different job offers at a time of career change, this theory suggests that the person will assign scores for the different factors to each of the alternatives. Once the motivations have been calculated, the person will choose the offer that has the greatest motivational power. Given the complexity of this theory, it has been difficult to verify it empirically, as each person will define the variables and assign values differently.

Another way of looking at the process of work motivation is that proposed by Locke[10] in his goal-setting theory. This theory assumes that human behavior at work is guided by consciously fixed goals. A goal is what the individual wants to achieve, it is the target toward which his action is directed. At the same time, the goal becomes a challenge that motivates the person to achieve it. Goal-setting theory suggests that other motivational factors, such as those envisaged in content-based theories, only influence action through deliberately set goals. Most studies on this theory focus on the difficulty of the goals, that is, whether or not they constitute a challenge. It has been verified that challenging but achievable (realistic) goals lead to better performance

[9] Vroom, V. H. 1964. *Work and Motivation*. New York: John Wiley & Sons.

[10] Locke, E. A. 1968. Toward a theory of task motivation and incentives. *Organizational Behavior and Human Performance*, 3: 157-189.

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than either easy, generic goals, or no goals at all. Furthermore, it has been demonstrated that when an employee sets her own goals or is directly involved in setting her own goals, she will be more committed to them and will perform better. Lastly, if an employee receives feedback on her performance, her performance tends to improve.

One of the most recent process-based theories is Bandura's[11] social learning or social cognitive theory. One particularly interesting aspect of this theory is that it looks at how the person interacts with her environment. Because of this interaction, the person's expectations are subject to a continuous learning process based on direct experience. Social cognitive theory also suggests that people may learn through observation of other people's experience, and even through a process of internal reflection. It therefore represents a step forward in process-based theories in that it addresses the motivational learning entailed in choosing among different alternatives.

Generally speaking, process-based theories provide important tools for managers, such as incentive setting (taking different expectations and valences into account), performance evaluation (with clear goals with which to compare performance), and management by objectives (using employee participation and feedback as motivating factors). However, they do not specify the different types of consequences that can affect both behavior and learning.

Outcome Theories

Outcome theories seek to explain what types of consequences motivate different people to work. Traditionally, these theories are associated with operant conditioning or Skinner's reinforcement theory[12]. They focus on the effect that different incentives, such as financial rewards (benefits, bonuses, etc.) or social rewards (status, public recognition, etc.), or punishments contingent on the action, may have on people's behavior.

Operant conditioning developed out of studies by Thorndike[13], in which cats learned to pull a string to obtain their dinner. Later, Skinner popularized the use of operant conditioning through his theory of reinforcement. In reinforcement theories, the individual's inner state becomes unimportant, and behavior depends exclusively on its consequences. Thus, basing his conclusions on experiments with pigeons and rats, Skinner argued that the immediate consequences of an action reinforce a person's future behavior. Those consequences may lead to positive reinforcement (rewards) or negative reinforcement (punishments), which in turn increase or reduce the behavior in question. The most traditional reinforcements in companies are cash incentives related to individual performance, although they can also be related to the performance of the group or organization. Verbal reinforcements, on the other hand, consist mainly of positive feedback on performance.

One of the most comprehensive practices to use motivational reinforcement is organizational behavior modification (OBMod)[14]. To improve performance, OBMod offers practical guidelines to identify, measure, analyze, intervene and evaluate the behavior of employees in relation to their tasks. Various studies have confirmed the positive effect that this system can have on employee performance. However, that positive effect is no doubt the result of a series of internal mental processes that these studies do not take into account. That means that these systems and theories in effect omit fundamental aspects of human motivation. In fact, most

[11] Bandura, A. 1977. *Social Learning Theory*. Englewood Cliffs, NJ: Prentice-Hall. Bandura, A. 1986. *Social Foundations of Thought and Action: A Social Cognitive Theory* Englewood Cliffs, NJ: Prentice-Hall.

[12] Skinner, B. F. 1953. *Science and Human Behavior*. New York: Free Press.

[13] Thorndike, E.L. 1911. *Animal Intelligence*. New York: Macmillan.

[14] Luthans, F. & Kreitner, R. 1975. *Organizational Behavior Modification*. Glenview. IL: Scott, Foresman.

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empirical studies on incentives have been carried out without any theoretical backing[15], focusing exclusively on extrinsic rewards.

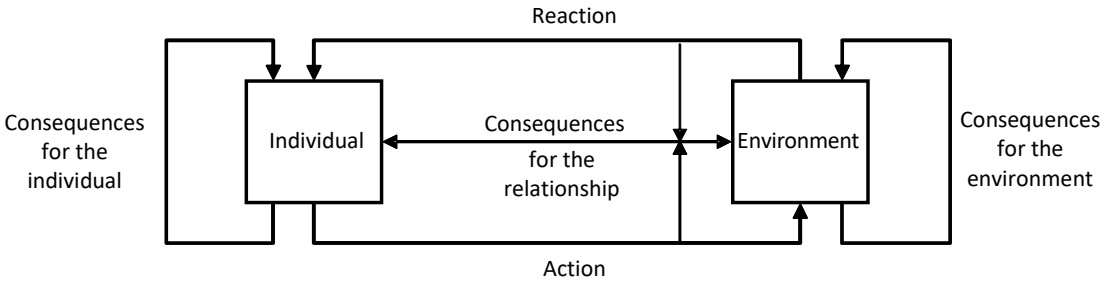
Various studies have found that extrinsic rewards are only one of the factors that motivate employees[16]. In fact, some recent studies have shown that for very many people extrinsic rewards are the least important[17]. Learning, the desire to contribute, and the desire to belong are also strong motivating factors. That is why we believe that there is a need to develop a richer theory of consequences that takes account of different types of consequences and motivations.

Consequences of an Action

As Bandura suggests, a person does not take decisions in isolation, but permanently in relation to her environment. In the context of work motivation, that environment may be another person (in the organization or outside it), a team, or the organization as a whole. Interaction between the individual and her environment gives rise to a reciprocal, dynamic influence: the environment receives the action of the individual and responds with a reaction, which, in turn, prompts the individual to respond with another action. To illustrate this situation, we can imagine a sales representative who makes a big effort to sort out a problem for a new customer. The customer may well respond with a letter of thanks, and will also be more inclined to conduct business with that representative in the future. The relationship between the sales representative and the customer will therefore be different from what it was before the first sale, and the change will affect the representative's subsequent behavior.

Accordingly, we can describe an individual's actions in a work environment in terms of interaction between the individual and the environment. According to the theory developed by Pérez López[18], a person's actions in relation to her environment can have different types of consequences. Here we shall distinguish between four types of consequences (see Figure 1): the reaction of the environment to the individual; the consequences for the individual deriving directly from the action; the consequences for the environment deriving directly from the action; and lastly, the consequences for the relationship between the individual and her environment.

Figure 1
Different Types of Consequences Resulting From an Action



[15] Welbourne, T. M. & Gómez Mejía, L. R. 1995. Gainsharing: A critical review and a future research agenda. *Journal of Management*, 21: 559-609.

[16] Baumeister, R & Leary, M. R. 1995. The need to belong: Desire for interpersonal attachments as a fundamental human motivation. *Psychological Bulletin*, 117:497-529.

[17] Latham, G. P. 2001. The importance of understanding and changing employee outcome expectancies for gaining commitment to an organizational goal. *Personnel Psychology*, 54: 707-716.

[18] Pérez-López, J. A. 1991. *Teoría de la acción humana en las organizaciones*. Madrid: Ediciones Rialp.

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The reaction is what the individual receives from the environment in exchange for her action. For example, if an employee works full-time for a company (environment), the action is the day's work and the reaction is the daily wage that she receives from the company. The consequences for the individual deriving directly from the action can be as diverse as enjoyment, learning, fatigue, or boredom. For example, a job that offers an exciting challenge is not the same as a repetitive job devoid of any interest. The consequences for the environment deriving directly from the action may be, for example, improving the efficiency of a process, giving good service to a customer or to society, etc. Lastly, these three types of consequences will indirectly have consequences for the relationship between the person and her environment. For example, in the case of the interaction between an employee and a company, the relationship between the employee and the company will be strengthened or weakened depending on, among other things, the quality of the pay, how interesting the work is, and how highly the company values the work the person does.

Definition of Outcome-based Motivations

In the outcome-based theory of work motivation, *motives* are the expectations a person has regarding the consequences of her actions. Given that an action can have different types of consequences, a person will act out of a combination of motives. The motives arising from direct consequences of the action give rise to three types of motivation: extrinsic, intrinsic, and contributive. The fourth motive of action, which arises from the indirect consequences of action on the relationship between the person and her environment, gives rise to what we shall call relational commitment.

A person's *extrinsic motivation* is her willingness to act because of the rewards she expects to receive from others in exchange for that behavior. People with high extrinsic motivation tend to carry out activities that have formal rewards, such as pay, bonuses, or promotions. For instance, an employee may be willing to work hard because she expects to receive a monetary reward.

There are positive and negative extrinsic motives for action. Extrinsic motivation may be fostered by the desire to gain different types of extrinsic rewards but also by the desire to avoid punishments. Positive extrinsic motives include money, goods, vacations, status, and social recognition, among others, whereas negative extrinsic motives include punishments such as economic sanctions, and physical or emotional damage.

A person's *intrinsic motivation* is her willingness to act because of the satisfaction he or she expects to experience from doing that behavior. In other words, what motivates the individual to work is the experience of learning or pleasure that results from performing that specific task. People with intrinsic motivation engage in activities that are personally rewarding such as projects with high learning potential, or tasks that satisfy their curiosity or are enjoyable. For example, an engineer may keep up-to-date on the latest developments of the field because of her personal interest in learning and in professional achievement.

There are positive and negative intrinsic motives for action. Intrinsic motivation may be due to the desire to learn, enjoy what one is doing, or accomplish a challenging assignment; but it may also diminish if the task is boring or routine. If a person lacks intrinsic motivation, she will try to do the absolute minimum, without bringing her talent and energy into play.

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A person's *contributive motivation* is her willingness to act because of the benefits he or she expects others to experience as a consequence of the behavior. People with contributive motivation engage in activities that have a high potential impact on other people, organizations, or society at large. For example, an employee may help colleagues who are having personal problems, out of her concern for others.

This type of motivation differs from the previous two in that the benefits from the action are not directed toward the person who acts but, rather, toward the person or the environment that receives the action. That is why this type of motivation is also known as *transcendent motivation*, in the sense that the benefit transcends the individual who acts, or *altruistic motivation*, owing to the fact that the beneficiary of the action is the other (from Latin *alter* for "other"). The fact that the benefit is intended for the other does not mean that the person who acts does not feel the motivation (if not, it would not be motivation). What it does mean is that people can also be motivated by the good of others. Time and again, this fact has been called into question by more or less economistic interpretations of the human person. And yet, research on the subject has yielded very solid evidence that people are indeed capable of being motivated by the impact that their actions have in others[19].

There are positive and negative contributive motives for action. Contributive motivation can give rise to evident self-sacrifice, in every sense, if the action benefits other people, the organization or society. But people may also act to produce negative consequences for others, out of envy, for example, or a desire for revenge. Although the negative side of contributive motivation has not been widely studied, it may help to explain much of the behavior observed in companies and other contexts.

A person's *relational commitment* is her willingness to act because of the expected impact of that behavior in her future relationship with the environment. People with a high relational commitment tend to engage in activities that reinforce their relations with others, such as impression management behaviors. For instance, a sales representative may do a customer a personal favor in order to reinforce their relationship. Generally speaking, a person may want to maintain or strengthen her relationship with the environment in order to satisfy extrinsic, intrinsic or contributive motives in the future.

In the world of work, where the environment is the company, relational commitment is known as *organizational commitment*. Meyer and Allen[20] distinguish between three types of organizational commitment: continuance commitment, affective commitment, and normative commitment. An employee who has high continuance commitment in her relationship with the company will be willing to strengthen her relationship in order to satisfy future extrinsic motives. For example, an employee will want to stay with the company if she has no other employment opportunity to guarantee an income. An employee with a high level of affective commitment will be willing to strengthen her relationship in order to satisfy future intrinsic motives. For example, a scientist may be very keen to stay in a prestigious research team that she gets on well with, even if she is offered the opportunity to head the same company's production department (and will be paid more in that post).

[19] Batson, C. D. 1991. *The Altruism Question*. Hillsdale, NJ: Lawrence Erlbaum Associates.

[20] Meyer, J. P. & Allan, N. J. 1991. A three-component conceptualization of organizational commitment. *Human Resource Management Review*, 1: 61-89.

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Lastly, an employee who has a high level of normative commitment will be willing to strengthen her relationship in order to satisfy future contributive motives. For example, a manager may turn down or put off an offer from another company because she believes that she has a duty to fulfill towards her colleagues in her present company. And that may be in spite of the fact that the other company offers her more money, or even a more interesting job. Obviously, people who wish to satisfy more than one type of motive in the future will develop more than one type of relational commitment.

Relational motives can be positive or negative. An example of positive relational motivation would be an employee who works overtime so as not to risk losing her job. Negative relational motivation, on the other hand, would be exemplified by a person who, in order to weaken her relationship with her environment, performs counter-productive actions or stops performing actions that are beneficial for the environment. For example, an employee who feels betrayed by the company and has other career options may act so as to make it in the company's interest to dismiss her. Or a sales representative may stop providing an important service for an unwanted customer in the hope of persuading the customer to go elsewhere.

Motivational Profiles and Learning

As we have seen, when we analyze outcome-based motivation, we find four types of motives. These four types are not mutually exclusive but complementary[21]. People act on the basis of a combination of extrinsic, intrinsic, contributive and relational motives, assigning to each a particular weight. The weight that a person assigns to the different types of motives is what we call that person's *motivational profile*. In other words, the motivational profile sums up the decision rule that a person applies when faced with different alternatives.

Motivational profiles are dynamic; they can change as a result of a person's experiences. When a person faces a decision between conflicting alternatives, her decision will have an impact on her motivational profile, and so may affect her decision rule. From the point of view of decision making, we define *motivational learning* as the creation, reinforcement or refinement of a person's decision rules. Although here we are focusing our attention on the mechanism whereby people learn through their own personal experience, we agree with Bandura that people may also learn by observing the experiences of others.

Most theories of motivation propose predetermined decision mechanisms by which a person selects alternatives in accordance with certain given conditions. There is no room in these theories for individual freedom in either the exercise or the evolution of motivation over time. Needs-based theories, for example, suggest that the decision criterion is the salience of the needs, which prompts the individual to satisfy them. For Maslow, the person will select whichever alternative best satisfies the lowest level of still unsatisfied needs. Rule-based theories, such as self-concept theories, suggest that individuals choose the alternative that is most consistent with their self-perception or that matches their ideal self. Learning, according to these theories, is a structural process that consists of satisfying needs or adapting to social identities. There is, therefore, no real freedom on the part of the individual to choose among the different alternatives.

[21] Cardona, P., Lawrence, B. & Bentley, P. M. (2004), The influence of social and work exchange relationships on organizational citizenship behavior. *Group and Organization Management*, 29: 219-247.

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Given that the outcome-based theory is based on the consequences of actions, motivational learning is the result of how people make decisions and, specifically, how they resolve *motivational conflicts*. These are conflicts that appear when a person has to choose between alternatives that have different potential combinations of extrinsic, intrinsic, contributive and relational motives. There are times when one alternative is clearly preferable to the others, appealing simultaneously to all four motives. In situations like that, where there is not conflict, the decision problem is trivial and there is no motivational learning. In many other situations, however, the decision is not trivial, as the person has to choose between the different motives to which the different alternatives appeal. We can distinguish between two types of motivational conflict: intra-motivational conflict and inter-motivational conflict.

An intra-motivational conflict arises when a person has to choose between motives of the same type. For example, having to decide between earning more or having more free time, both being extrinsic motives. The person may resolve this type of conflict by calculating the costs and benefits of the different alternatives and choosing the one with the highest expected value. Once the decision has been made and the action has been taken, the person will evaluate whether the results are as expected. Through this experience, the person may reinforce or refine her decision rule, depending on whether the result was as expected or not. This is a process we call *calculative learning*. This learning is aimed at judging more and more accurately how expectations will turn out in practice.

An inter-motivational conflict arises when a person has to choose between motives of different types. For example, having to decide between money (an extrinsic motive) and training (an intrinsic motive). Resolving this type of conflict takes more than a simple calculation, as the motives are like apples and pears: the values obtained are not directly comparable. First, the person will have to consider the relative weights of the different types of motives involved in the decision. The choice between money and training, for example, does not depend solely on how much money or what type of training is involved. It also demands that the person assess how important extrinsic and intrinsic motives are for her relative to one another. Once the person has assigned relative weights to the different types of motives, she may then assign costs and benefits to each alternative and select the best. As in the previous case, once the decision has been made and the action taken, the person will evaluate the results to see if they are as expected.

Through this experience the person will reinforce or change not only her decision rule with respect to the value of specific motives, but also her judgment as to the relative importance of each type of motive. For example, a person who sacrifices earnings in the short term in order to go to university may find a job in the future that not only earns her more money but also is more attractive professionally. In this case, her decision rule that, in the long run, training is more important than money will be reinforced. This adjustment is not simply a refinement at the calculative level, but implicitly contains a deeper learning: learning to set aside external pressures (the pressures typically considered in reinforcement theory) in favor of the internal consequences of behavior. In fact, it is a type of learning that targets a person's evaluation system as such. That is why we call this second type of learning *evaluative learning*.

Unlike calculative learning, evaluative learning brings about a change in the person's motivational profile. It is the change in the ability to evaluate the consequences of different types of motives. For instance, a small child may value only the extrinsic consequences of her actions: obtaining a reward or avoiding a punishment. Gradually, the child may start to set aside her external impulses and acquire habits of learning. Eventually, the child may learn to value the effect that her behavior has on her family and other people. In our view of learning, therefore, decision rules and motivational profiles are not fixed but are part of a human being's personal development.

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In this process, people may learn to value the different motives of action, giving them the appropriate weight in their decision rule. For example, a person who used not to consider the impact that her action had on others may, after a process of experience or reflection, learn to value them and start to behave accordingly. Assuming that considering a wider range of motives will lead a person to make better decisions, we call the process whereby a larger number of different types of motives are taken into account in decision making *positive evaluative learning*. However, not all evaluative learning is positive. Specifically, it is possible for a person to make decisions that reduce her ability to evaluate different motives in the future. For example, people may start to work in a company for a wide variety of motives, including intrinsic and contributive motives. And yet, due to a compensation system that reinforces only extrinsic motives, it often happens that these people gradually stop valuing any other than purely extrinsic motives. This is a process of *negative evaluative learning*.

Given the dynamic nature of motivation, incentive systems can help both to enhance and to distort people's motivational profile. That is why it is so important to design incentive systems that not only are matched to people's current motivational profiles, but also foster positive evaluative learning. For example, a good incentive system should help people to identify more and more closely with their work and the company, rather than the opposite. This learning process does not depend only on incentive systems; it also depends very much on the good example and coaching that subordinates receive from the company's managers.